

Internal Rules and Procedures

1. ORGANIZATIONAL PRINCIPLES

The TLD Group is comprised of two kinds of entities, i.e.

- sales and customer service entities,
- design and manufacturing companies, which provide product technical support to sales entities.

The relationship between those entities is governed by the following rules and procedures.

Everybody in the TLD Group must strictly follow these rules and procedures that can only be modified by the TLD Steering Committee.

2. TERRITORIALITY RULE FOR SALES ENTITIES

2.1 Basic Rule

The three sales entities i.e., TLD America, TLD Asia and TLD Europe shall be fully and exclusively responsible for the distribution of Group products within their respective geographical area and shall implement the required sales policies, as part of the general business policy of the Group.

The three areas concerned are

- **TLD America:** North, Central and South America, Japan, Australia and New Zealand.
- **TLD Europe:** Europe, the countries of the former Soviet Union, Africa and Middle Eastern countries located west of and including Pakistan, India and Afghanistan.
- **TLD Asia:** all countries of Asia located east of and including Sri Lanka, Bangladesh, Nepal, China, Mongolia and Korea.

Consequently, any invitation to bid, call or request for information by current or potential customers, within a geographical area, that comes to the attention of the Company must absolutely and immediately be communicated to the sales entity concerned. No response shall be provided in the absence of that entity's prior consent, except in emergencies beyond the Group's reasonable control.

The above rule applies to

- requests emanating directly from the area concerned;
- requests emanating from other areas, for products to be sold in the area concerned.

2.2 "Sleeping" Commission

In the event that a sales entity should sell, either directly or through a third party, products destined to a geographical area other than its own, a commission in the amount of 5 percent of the net revenue from the sale of said products (i.e. sale prices net of shipping and commission expenses) shall be payable by such entity to the sales entity responsible for said area, unless previously agreed upon otherwise. That local sales entity will thereafter be responsible for the after-sale service of these products.

2.3 Sales to multinational customers

In the event a sales entity would be invited to bid in its geographical area, by a customer with a multinational activity and with its headquarters located outside of said area, the sales entity must inform, before bidding, the sales entity which covers the area on which these headquarters are located.

In case the first sales entity would ask the assistance of the second sales entity in order to deal with said customer, the commission would be shared on a case by case basis.

2.4 Sales to the Military

With respect to sales to the military, in the event that it should be advisable for a manufacturing company to conduct a direct sale rather than having such sale handled by a sales entity, said manufacturing company shall so act on condition that :

- it obtains the prior consent of the concerned sales entity;
- it keeps the concerned sales entity fully informed of its business relationship.

After a business relationship has been established, every effort shall be made to shift the pursuit of said relationship to the concerned sales entity.

2.5 Sales Agents

The use of sales agents on a regular basis may be required in certain countries.

Sales entities shall be responsible for managing the relations with such sales agents in their area. Sales entities shall furthermore be responsible for selecting new agents.

2.6 Dealers (brokers)

It is not the policy of TLD to sell through brokers.

Sales to dealers are strictly prohibited in the absence of :

- detailed prior information about the dealer,
- prior information as to the final destination of products sold.

and are only allowed if there is no other way to make the sale.

3. TRANSFER PRICES, TERMS OF PAYMENT AND OTHER TERMS AND CONDITIONS

3.1. Transfer prices

Except under special circumstances, manufacturing companies shall sell their products to sales entities for distribution to their customers.

Transfer prices charged by manufacturing companies to sales entities shall be net prices 10 percent below suggested selling prices (to customers).

Suggested selling prices shall be indicative only, actual prices being arrived at by negotiated agreements.

3.2 Transfer Price Lists

- Manufacturing companies shall publish price lists for their products (equipment and spare parts).

Said price lists may be revised twice a year, on March 1st and September 1st, except in the event of developments beyond the company's reasonable control, when revisions may take place at other times.

Price lists shall be issued at least thirty days prior to their effective date.

Upon the announcement of a price revision, sales entities shall promptly inform manufacturing companies of any bid outstanding, so that such bids may remain current during a reasonable period of time, which is to be mutually agreed upon.

- Transfer Price are on Ex-Works basis (loaded and fastened on the truck).
- Transfer Price list must be issued in Euro for European manufacturing companies, in Canadian Dollar for the Canadian manufacturing company, and in USD for other manufacturing companies.
- The prices listed for spare parts shall be Maximum International Prices (MIP). Actual transfer prices between Spare Parts Hubs shall be 20 percent below the maximum international price (MIP).

3.3 Invoice / Terms of Payment/Settlements

Unless otherwise formally agreed between the parties, manufacturing companies must invoice equipment to sales entities :

- at the date of acceptance of the Unit by the factory Quality Inspection (Green Tag),
or
- one week after the date of this acceptance if the customer has opted to inspect the unit at the factory,
provided that :
- The invoice date is not prior to the promised date (date promised by the factory and accepted by the sales organisation), and
- The factory formally reconfirms the promised date to sales entity two weeks prior to the Green Tag date.

In case the factory has initially omitted to confirm such promised date, the invoice date will be the earliest of two dates :

- Date of shipment of the unit
- Two weeks after this promised date has been actually reconfirmed, provided that the unit has been accepted by the factory Quality Inspection (Green Tag)

Sales organizations have to make their best effort to formally inform the factories about the customer inspection date at least one week prior to the promised date.

Invoice shall be paid on the last day of the month following the month of invoice.

The rule of TLD is to pay every interco invoice on time even if it may be challenged.

In case of late payment, penalties shall be charged at the rate of 1% per month.

Invoices and settlements between sales entities and manufacturing companies must be made in the currency of the price list, unless otherwise agreed by both parties.

3.4 Purchases of Components by Group Entities

Components sold by one Group company to another (such as motors, gear boxes, axle assemblies, hydraulic parts, sub-assemblies, etc.) shall be priced at 5 percent above cost plus shipping and other handling expenses.

3.5 Buy-back of Spare Parts

Manufacturing companies shall accept to repurchase spare parts returned to them by sales entities, if purchased at least one year and no more than three years earlier, for which the demand is too low, at 20 percent below their original price.

4. CUSTOMER SUPPORT SERVICES

Sales entities shall be responsible for customer support services, including

- Shipping
- Delivery and start-up
- Spare-parts supply

5. COORDINATION OF BUSINESS WITH GLOBAL CUSTOMERS

Global customers are customers having significant operations on several TLD sales territories, with a centralized decision process and management for selecting and/or purchasing the equipment for their whole group.

The status of global customer within TLD sales entities, as well as the appointment of the sales entity in charge of the central coordination of the business with such customer, is decided by TLD Steering Committee.

The relation with global customers is managed locally by each local sale entity concerned, and is globally coordinated by the sales entity appointed.

Except otherwise agreed or requested by the customer, each sale entity records the revenues of sales to affiliates of global customer on its territory. In case the revenues have been recorded by another sales entity on request of the customer, the local sales entity must receive full compensation.

In order to ensure an efficient coordination :

- No proposal and price quotation must be done by any of the sales entities involved in the relation with a global customer (both on a local or global level) without a prior information

and discussion with all concerned sales entities. Sales Directors of sales entities are directly responsible for the supervision of the relation with global accounts.

- All efforts must be done in order to ensure the best communication as regards relation with these customers and their evolution. Sensible information must be brought to the attention of General Management as soon as possible.

5. WARRANTY

Unless otherwise agreed upon previously, the liability of manufacturing companies shall be limited to the general terms and conditions of the warranty of TLD.

- In the case of minor repairs covered by the warranty
 - Manufacturing companies shall pay for parts, and all related expenses (freight, duties...)
 - Sales entities shall pay for labor,
 - The companies travel and accommodations expenses of employees shall be borne by manufacturing companies.
- Major repairs required as a result of manufacturing defects, compulsory service bulletin, or due to a failure to comply with customer specifications shall be carried out either by the manufacturing companies themselves or by sales entities at the expense of the manufacturing.
- Sales entities shall be responsible for overseeing repairs under warranty.

6. AFTER SALE INFORMATION AND INTERVENTION BY MANUFACTURING COMPANIES

In case where, after the delivery of products, a failure or defect is detected, or an important communication about the product has to be released, the manufacturing company concerned must then issue a bulletin, and must absolutely contact directly the sales entities concerned in order to inform them and plan the necessary retrofit operations.

They are two categories of bulletins :

- SERVICE BULLETINS, with two levels :
 - COMPULSORY : A failure or defect has been detected, with a possible impact on safety or capacity of the equipment to perform its direct mission. In this case, a compulsory service bulletin must be issued by the factory concerned, the retrofit works are compulsory as soon as possible, and all the costs associated (including labor) with such works will be borne by the manufacturing company.
 - RECOMMENDED : A failure or defect has been detected, with no impact on safety or capacity of the equipment to perform its direct mission, but a possible impact on performance, comfort or corporate image, that should be corrected. In this case, a recommended service bulletin must be issued by the manufacturing company concerned. The decision to carry out retrofit works is taken by each sales entity, and the costs associated with such works are shared as follows :

- Manufacturing companies shall pay for parts, and all related expenses (freight, duties...)
 - Sales entities shall pay for labor, and travel and accommodations expenses of employees.
- INFORMATION BULLETINS, with 3 different possible categories
 - OPERATION
 - MAINTENANCE
 - IMPROVEMENT

TLD official information and communication media for bulletin is TLD web site. If any doubt exists about the correct reception or understanding by a sales entity of a general or restricted recommended service bulletin, the manufacturing company must contact it directly.

7. PENALTIES

Each entity shall be responsible for its errors and bear the cost thereof. In the event that a sales entity should consent to penalty clauses in a sales contract, the manufacturing company shall be informed of said clauses no later than at the time of the order by the sales entity. The factory cannot be charged for the penalty clauses if they have not be formally accepted.

Likewise, if a sales contract calls for payment by letter of credit, the manufacturing company shall be informed of any conditions contained in the letter of credit that may be of concern to it, no later than at the time of the order by the sales entity.

8. ACCEPTANCE OF INTERCOMPANY INVOICES

Invoices issued by one Group entity to another and which have not been challenged within two months of receipt, shall be deemed to have been accepted by the billed party.

9. ORDER CANCELLATION

In case of order cancelled by the customer before shipment of the unit from the factory, the unit remains the property of the factory.

In case of order cancelled by the customer after shipment of the unit from the factory, the unit remains the property of the sales entity.

In case of order cancellation, regardless of who remains the owner of the unit, all profits and losses (rework, interests, penalties...) linked to order cancellation must be shared equally between sales entities and factories.

10. DEMONSTRATION UNITS

Manufacturing companies and sales entities shall jointly decide on the allocation of demonstration units and shall jointly make the proposal to the TLD Chairman who finally decides.

Manufacturing companies shall retain title to the demonstration units, which must be returned to them if not sold within six months following their delivery.

Manufacturing companies therefore shall bear the cost of capitalizing the demonstration units and shall subscribe insurance policies for these against damage and third party liabilities.

Sales entities shall be responsible for the transportation and normal on-site maintenance expenses of the demonstration unit and shall ensure that before remittance to the customer, the users of these units have signed the demo loan contract and subscribed all appropriate insurance policies for the demonstration units.

Sales entities shall be responsible for disposing of demonstration units, under the following conditions:

- if the price bid by the customer is higher than the transfer price, the manufacturing company shall be paid the transfer price;
- if the price bid by the customer is less than the transfer price
 - either the manufacturing company shall agree to that bid and collect the full price (no commission to the sales entity),
 - or the manufacturing company shall decline the offer and the demonstration unit shall be returned.

11. ALLOCATION OF TRADE SHOW EXPENSES

Expenses incurred for the participation in shows by the three sales entities shall be allocated as follows:

- The cost of the organization of the show and the expenses of the booth shall be borne by the sales entities concerned (agreement on budget and cost sharing to be found prior to the shows on a case by case basis);
- Shipping, handling and prorated booth rental surface expenses for the equipment displayed shall be paid for by manufacturing entities;
- Travel, accommodation and business expenses (exclusive of display) shall be paid for by the entities concerned.

12. TECHNICAL DATA - SPECIAL TERMS AND CONDITIONS

Manufacturing companies shall keep up to date and distribute to sales entities all current technical data material on products included in their price list. These material should be provided through the TLD Intranet. Each modification must be announced and explained when the new datasheet is released. This is the responsibility of the Sales Organization to print these documents. These material must be available on main languages but at least English.

Manufacturing companies shall be responsible for the compliance of their products with the applicable regulations of the territory on which these products are delivered. All information concerning said regulations shall be provided by the sales entities, if requested by the manufacturing companies.

For CE compliance, the manufacturing companies must translate systematically the operator manual in the required language. The translation of the whole maintenance manual in the language of the customer can be provided when available but in the case it is not, the translation cost shall be borne by the Sales Organization.

Sales entities shall be informed of any special terms and conditions applicable to products offered for sale (such as unusual lead time for a product).

13. SALES FORECASTS - MARKET INFORMATION

- Sales entities shall forward every month to all manufacturing companies, a written forecast of their sales for the following six months, and a report on the orders lost during the previous month. The forecast must include all pending quotations, even if chances are very low.
- Sales entities shall inform manufacturing companies of the final selling prices of their products if requested.
- Sales entities shall inform manufacturing companies, on a regular basis, of market trends (products, prices, competitors, etc.). In particular, with respect to the principal products, they shall, if possible, compile and disseminate information on the total number of units sold by competitors, and on the prices at which said sales were made.

14. SETTLEMENTS OF DISPUTES - ARBITRATION

In case of any dispute arising between TLD entities, which has not been solved by these entities or by the Regional CEOs concerned, they will promptly report the case to TLD Chairman for arbitration.